

MAINS MASTER PROGRAM (MMP) 2024

INTERNATIONAL RELATIONS-1

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2. INDIA'S NEIGHBOURHOOD FIRST POLICY

- **Introduction:**
 - » The concept of 'Neighbourhood First' policy was first framed in 2008. It guides India's approach towards management of relations with its immediate neighbourhood i.e., Afghanistan, Pakistan, Nepal, Bhutan, Bangladesh, Myanmar, Sri Lanka, and Maldives. It is aimed at enhancing physical, digital, and people to people connectivity across the region. It also focuses on increasing trade and commerce in the immediate neighbourhood.
- **Why "Neighbourhood First" is important/ Importance of Good relations with neighbours**
 - i. **Relations with neighbours define global status:** Poor relations with neighbours is a big hindrance in India's dream of making it big at the global stage.
 - ii. **Military Security:** The biggest threat to security of India comes from its neighbours (esp. Pakistan and China). Good relations can reduce the arms race in the region.
 - iii. **Countering Non-Military Threats:**
 - Non-military threats may emanate from any of our neighbours. This includes
 1. **Providing base for terrorists and insurgents**
 2. **Spillover of their domestic conflict** (LTTE violence in India; Bangladesh refugees; Rohingyas of Myanmar)
 3. **Large scale illegal migration:** For e.g. illegal migration from Bangladesh not only creates law and order challenges but also puts economy under strain.
 4. **Controlling rivers:** Non-cooperation of Nepal in taming rivers has caused large damage due to floods and drought in India. This has also led to deprivation of hydroelectricity for India.
 - iv. **Potential of Economic Cooperation:** Neighbours are generally the most natural partner for economic cooperation. It is due to geographical proximity, common language, religion, consumption pattern etc.
 - v. **Energy Security:** E.g. through Nepal/Bhutan's hydro power potential.
 - vi. **Pluralistic society of India and significance of neighbours**
 - The developments in our neighbours impact our capability to hold our society together
 - E.g. violation of rights of minorities in BD and Pakistan can create communal tensions in India or vice-versa.
 - vii. **India aspires to be voice of global south** and in this scenario, cooperation and support from our own neighbours will be crucial.
 - viii. **Strengthening Multilateralism** - through regional and sub-regional organizations like SAARC and BIMSTEC - will require coordination and cooperation among neighbours.
- **Key challenges in India's Neighbourhood First Policy:**
 - » **Historical baggage of unresolved dispute** - e.g. border dispute with Pakistan, and China.
 - **Continuation of terrorism** from across the border.
 - » **China's assertive, and often aggressive, behaviour** has been viewed as a huge challenge for India because it opens up the likelihood of China dominating India's immediate neighbourhood.
 - » **Recent political instability in the neighbourhood:** E.g. regime change in Afghanistan, Sri Lanka, Nepal and now Bangladesh.
 - » **India's limited capacity and resources vis-a-vis China** leads to reduction in bargaining power of India.
 - » **Dysfunctional regional multilateral institutions** - E.g. SAARC hasn't had a summit since 2014.

- » **Other challenges:**
 - **Identity crisis faced by neighbours**
 - **Big Neighbour-Small Neighbour syndrome**
 - **Neighbours exaggerated perception of threat from India**
 - **Domestic Politics:** E.g. local politics in Tamil Nadu influence India-Sri Lanka relations
 - **Illegal immigration** in India is also causing domestic issues and hurting India's internal security.
- **Standing Committee on External Affairs** (chaired by Mr. P.P. Chaudhary) submitted its report on 'India's Neighbourhood First Policy', on 25th July 2023. It has recommended several measures to bolster India's Neighbourhood First Policy:
 - » **Dealing with illegal migration:** There is a need to monitor demographic change caused by illegal migration in border areas. The Ministry of External Affairs should work in close coordination with Ministry of Home Affairs and state governments to address the illegal migration issue.
 - » **Countering the threat of terrorism from Pakistan:**
 - Continue to proactively engage with the regional and multilateral bodies/organizations extensively so as to sensitize them of the role played by Pakistan in fostering terrorism and win their support.
 - India can consider the establishment of economic ties with Pakistan if they come forward and work towards broader people-to-people contacts.
 - » **Implementation of developmental projects:**
 - **MEA should establish a cell** to identify specific initiatives, projects and programs to be taken up by various ministries in India's neighbourhood.
 - **In Afghanistan**, India should continue to provide human aid and look for completing the project committed earlier (during pre-Taliban regime). India should also keep arms open for other diplomatic gestures.
 - **In Sri Lanka**, India should continue to be its biggest friend in time of crisis. We already support Sri Lanka with an aid of \$4 billion at the time of unprecedented crisis. We should provide more support on favourable terms for line of credit, currency swap etc.
 - » **Border Infrastructure and connectivity:** It will be crucial for improving engagement with neighbours in the form of cross-border roads, railways, inland waterways and ports. There is also a need to explore regional development fund for connectivity infrastructure under regional framework.
 - » **Synergize Neighbourhood First and Act East:** It would also improve connectivity, economic development and security in the north-eastern region.
 - » **Promoting Tourism**, including medical tourism can help India strengthen relations with its neighbours.
 - » **Multilateral Organizations:** For impact of "Neighbourhood First" policy to be felt on ground, there is a need to strengthen institutional and multilateral/regional mechanisms like SAARC and BIMSTEC. There is a need to conduct periodic review of bilateral and multilateral relationship framework.
- **Other suggestions:**
 - » **Engage with all sides of the political spectrum**
 - » **Don't reduce ties** to communal binaries

3. RECENT POLITICAL TURMOIL IN THE NEIGHBOURHOOD AND LESSONS FOR INDIA

- From the start of this decade, India has received one shock after another in its neighbourhood.
 - » **2021** saw the coup in Myanmar and Taliban takeover in Afghanistan.
 - » **2022** saw ouster of PM Imran Khan from office in Pakistan and riots pushing Gotabaya Rajapaksa out of the country in Sri Lanka.
 - » **2023** saw the dramatic political change in Maldives which pushed the more India-friendly Solih government out.
 - » **In 2024, Nepal** has seen coalition collapsing which has brought the less India-friendly Oli government in. And now, the fall of Sheikh Hasina is expected to bring a less India friendly government in Bangladesh.
- If last few years have been a trend, India needs to learn **various lessons to insulate it from the spill-over effects of radical shifts in South Asia**, and escape similar consequences for itself in the future.
 - » **Strengthen its intelligence presence on the ground in each country:** For e.g. the four consulates in Chittagong, Rajshahi, Khulna, and Sylhet, apart from the High Commission in Dhaka and a slew of agencies working on various projects in Bangladesh, should have ensured that the groundswell of anger against the Hasina government was well documented and relayed to India.
 - » **Engage with all sides of the political spectrum:**
 - **Indian diplomacy has so far mostly focused on one side:** For e.g. In case of Bangladesh, the failure of Indian diplomats to keep a close contact with the opposition, refusing permission to BNP leaders to visit etc. underlined south block's decision to be on only one side of the political fence.
 - But the decisions to strengthen ties with the Taliban, despite its leaders' involvement in deadly attacks on Indian missions in Afghanistan, or the warm welcome to leaders of Sri Lanka's Janatha Vimukthi Peramuna (JVP), a party that has often espoused an anti-Indian stance, clearly indicates that **eventually, pragmatism dictates engagement with all stakeholders in neighbouring countries**.
 - Another example is India's External Affairs Minister S. Jaishankar seeking close engagement with the Muizzu government during his visit in Aug 2024.
 - » **India must never forget its friend:**
 - After the fall of Kabul, New Delhi **lost its reputation as a dependable partner** when it refused visas to hundreds of Afghan fleeing the Taliban - many were senior defence and security officials in the previous Afghan establishment who had personally risked their lives to secure Indian diplomats.
 - This lesson was well learnt and in case of Sheikh Hasina, whom India has allowed to stay in India until she finds another safe destination, as to have turned its back on her would have been betrayal.
 - » **Don't reduce ties in the neighbourhood to communal binaries:**
 - The perception that good ties are somehow linked to religion in any way **is faulty**. (for instance, Hindu majority Nepal has been India's one of the most difficult relations, while Buddhist majority Bhutan and Muslim majority Maldives have often been our allies).
 - » **Revive Cooperation in South Asia:**
 - In the absence of integration and cooperation among south Asian countries, the region is becoming a playground for US-China rivalries, where neither shows a sensitivity to India's interests.

- For e.g. China's moves to marginalize India in trade, connectivity, investment, and strategic ties in South Asia is well recorded. Similarly, in Bangladesh, US' campaign against Sheikh Hasina crushed India's concerns underfoot.
- India must therefore, revive pan-South Asianic mechanisms like SAARC, and find ways to engage with the neighbourhood without external interference.
- » **All South Asian governments must focus on certain common lessons** from last few years.
 - Joblessness and unequal growth are fuelling anger on the streets and must be addressed.
 - However, no amount of economic progress can cover up for democratic backsliding. In modern democracies, the stifling of dissent is unsustainable in the long run.

4. INDIA-MALDIVES

1) POLITICAL DEVELOPMENTS IN MALDIVES (TO GET SOME BACKGROUND UNDERSTANDING)

- **Key Political Parties and leadership**
 - » Progressive Party of Maldives - PPM - main leaders include Abdulla Yameen, Mohammed Muizzu etc.
 - » Maldivian Democratic Party - MDP - Mohammed Nasheed's (now formed a new Party the Democrats) and Mohammed Solih's party
 - » Adhaalath Party (AP): It's leader Sheikh Imran Abdullah was jailed in 2016 for 12 years on a terrorism charge for inciting unrest during an anti-government rally
- **Background**
 - » Mohammed Abdul Gayoom (half-brother of Abdulla Yameen Gayoom of Progressive Party of Maldives) ruled as an autocratic President from 1978 to 2008.
 - » In 2008, Maldives became a multiparty democracy and **Mohammed Nasheed** (Of Maldivian Democratic Party), became the first directly elected President.
 - » **Nasheed, later, lost the presidential election in 2013** paving way for **Abdulla Yameen Gayoom** to become President.
 - **Anti-democratic measures under Abdullah Yameen**: stifling dissent, imprisonment of opposition, control over judiciary etc.
 - **Abdullah Yameen** has been the most-Pro China president so far.
 - » Yameen gave opportunities to China to increase its influence in Maldives.
 - » One primary reason for it was that Yameen perceived that Nasheed was helped a lot by India.
 - **Feb 2018 Crisis: the 45 days emergency**
 - » President Yameen declared emergency and **ordered arrest of 2 senior judges who had ordered release and re-instate of 12 lawmakers** who were arrested in politically motivated cases.
 - » This move was criticized globally as another attempt to suppress any kind of dissent and killing democratic institutions.
 - **Sep 2018 Democratic Transition: Defeat of Yameen and Ibrahim Mohammed Solih became the President**

» **Ibrahim Mohammed Solih** was a joint candidate of Maldivian Democratic Party, The Jumhooree Party and the Adhaalath Party.

» **Impact:**

- A moment of joy for democracy lovers
 - » Political prisoners were released.
- Solih made **rebuilding strong relations** with India a priority.
 - » Both countries tried to align their respective policies of SAGAR (Security and Growth for All in the Region), India's "Neighborhood First" approach and Maldives' "**India First**" approach.
 - » India has also been involved in **Infrastructure and Connectivity Project** including the Greater Male Connectivity Project (GMCP)
 - » India also provided assistance during COVID-19 crisis and helped Maldives during the campaign to move Maldives foreign minister Abdullah Shahid elected President of UNGA.

- **2023 Elections:**

» **Mohamed Muizzu** was elected President of Maldives as he defeated the incumbent, Ibrahim Mohamed Solih.

» **Impact:**

- The latest Presidential election in Maldives showed that **democracy is thriving**. The holding of yet another free and fair election enhance the country's international Prestige.
- **But, Muizzu** has taken a pro-Maldives policy that reduces his country's dependence on India, increases relation with China.
 - » **Pro-China Steps:**
 - Mr. Muizzu visited China in Jan 2024 and 20 MoUs were signed. There was also an agreement to revive Belt and Road Initiative project and FTA with China.
 - Signed a Defence pact with China in March 2024
 - Agreed to explore the implementation of Global Security Initiative.
 - Upgraded relations with China to a 'China Maldives Comprehensive Strategic Cooperation Partnership' from 2024-28
 - Permitted Chinese Spy ship to dock in Male.
 - » **Anti-India Steps:**
 - Indian military personnel have been removed from Maldives.
 - Maldives has opted out of Colombo Security Conclave annual meeting (2023)
 - It has cancelled Hydrography agreement with India.

2) INDIA-MALDIVES

- **Background**

» Relations between India and Maldives go back several centuries. This relation further grew in decades following Maldives independence from Britain in 1965 and **strengthened in 1980s and 1990s with India readily available to help Maldives on all fronts**.

- » India has played a critical role in building Maldives' economy and ensuring political stability then. Delhi supported authoritarian rule of Abdul Gayoom and enabled him to remain in power for three decades. Delhi also helped Maldives to avert a coup attempt to oust Gayoom in 1988 and protect its territorial integrity (**Operation Cactus, 1988**).
- » India's relations with Maldives continued to grow even under the first democratically elected President Mohammed Nasheed.
- » In 2014, when there was a drinking water shortage in Maldives due to disfunction of the only desalination plant there, Indian Navy had rushed the drinking water to Male.
- » Both the countries share strong geographical, cultural and religious bonds.
- » Maldives has also been an important component in India's Maritime strategy.
- **But during Yameen's Presidency (2013-2018) ties between Delhi and Male had nosedived.**
 - » The political situation forced PM Modi to cancel his 2015 visit to Male.
 - » Maldives annulled the \$500 million contract of GMR Group to develop a modern international airport near Male and gave it to a Chinese company.
 - » Relations reached at its lowest point after the Feb 2018 Emergency imposition by Yameen government to curb all kinds of dissent including from judiciary.
 - » **India's influence reduced in Maldives:**
 - **Increasing Chinese Influence in the region**
 - Debts, Infra Projects, FTA etc.
 - **Reducing dependence on India:** With its booming tourism sectors, Maldives now is less and less dependent on assistants from India.
 - **Increasing role of Pak and Saudi Arabia and growing radicalization**
- **But things started changing in 2018 when Solih came to power: India's influence increased:**
 - » Already discussed in the impact section of Political development.
- **Why Maldives is Significant for India**
 - i. **Strategic Location**
 - It is located around 700 km from India's Lakshadweep Island chain and around 12,00 km from the Indian mainland.
 - Its proximity to international sea lane through which 2/3rd of the World's oil and half of its container shipment pass also makes Maldives very important for Geo-political reasons.
 - It is thus an important member of India's Neighborhood First Policy.
 - ii. **Countering China's String of Pearls strategy:** Increased Chinese presence in Maldives will negatively impact India's strategic interest. To counter China's String of Pearl strategy we have to have good relations in Maldives.
 - iii. **Securing Sea Lanes:** Maldives can play a significant role in dealing with Piracy and building stability in the Indian Ocean region.
 - iv. **Regional Cooperation** through SAARC, SASEC, IORA etc.
 - v. **Protecting Interest of Indian Diaspora:** More than 20,000 Indians live in Maldives. They form the second largest expatriate community there.
 - vi. **Preventing further radicalization of youth in Maldives.**
- **Challenges:**

- » **Increasing influence of China:** Maldives have endorsed BRI and have taken other pro-China steps. This impacts India's sphere of influence. (see steps after Muizzu's coming into power)
 - » **Scope of Islamic radicalization** in Maldives due to influence of Pakistan and Islamic State.
 - » **Domestic Politics of Maldives:** India is seen as a partisan partner (supporting one political party and not the other).
 - » **Decreasing economic dependency:** For e.g. India's tourists to Maldives have reduced by around 40% since the beginning of tensions in 2023.
- **India's Foreign Minister S. Jaishankar's 3-day visit to Maldives (Aug 2024)**
- » During the visit, S. Jaishankar called on President Muizzu and held wide ranging talks with his counterpart Moosa Zameer.
 - During the visit President Muizzu reaffirmed his commitment to deepen the India-Maldives relationship further.
 - MoUs on capacity building of additional 1,000 Maldivian Civil Servants in India and on introduction of UPI in Maldives were exchanged.
- **Way Forward:**
- » New Delhi must **avoid the impression that it has favorites within the Maldivian Polity**. It should be perceived as working for the people of Maldives. This will ensure that no matter which party comes to power in future, India's influence in Maldives wouldn't wane
 - » **India must engage with new government in Maldives and deepen ties**. India's cooperation with Maldives is based on jointly addressing shared challenges and priorities.
 - Already steps are being taken. For e.g. **India has increased development assistance** for Maldives from Rs 400 crore to Rs 600 crore (a 50% increase) for 2024. India has also increased export quota of food products to Maldives by 5% and construction item by 25%.
 - » **Deepen Security Cooperation: Strengthen Colombo Security Conclave**: Colombo Security Conclave comprise of India, Sri Lanka, Maldives, Mauritius, Bangladesh and Seychelles. It should be strengthened showing tangible outcomes in maritime security and the development of the Blue Economy.
 - » **Enhance multilateral partnership**: Revive SAARC (even without Pakistan) or Invite Maldives to BIMSTEC Grouping.
 - » **Continue with developmental investment in Maldives to help Maldives out of economic crisis**: This will provide India's strategic community and media organizations take more interest in the small but vital neighbor, building bridges of mutual understanding and trust.
 - » **India is significant for Maldives and the entire political spectrum (including Progressive Alliance) should understand this**
 - **Despite political posturing by the Progressive Alliance** - there is a hard realization in the Maldives that India is the biggest security partner in the region and makes up for Male's scarce maritime capacity and capabilities.
 - It is no coincidence that even Yameen continued defence cooperation with India during the roughest phase of bilateral relations.
 - India is also Maldives' biggest trade partner, a top export destination and a traditional donor.
 - » **World has changed since Mr. Yameen's time and China and Pakistan may not be able to have so much influence now.**

- **The BRI** which Maldives had accepted, is in serious trouble.
 - **Sri Lankan Financial Crisis** showed the impact of China's debt trap and how India's steady help to Sri Lanka was beneficial.
 - **Islamist constituency in Maldives** which is not very friendly with India will also notice the changed equation between India and the gulf states. It is reflected in the waning influence of West Asia in a bankrupt Pakistan, which has long nurtured extremism in Maldives.
- » But India still needs to **keep an eye on China's expanding influence in Maldives** especially after Muizzu coming to power.

- **Conclusion:**

- » In the last 9 months of his presidency, President Muizzu of Maldives have come to realize that he can't completely alienate India and that he would benefit more by balancing and playing both India and China.
- » The election of Muizzu as President may give China some advantage, but Male surely recognizes that it is also not in Maldives' interest to put all its eggs in Beijing's basket.

5. INDIA-BANGLADESH

1) HISTORY OF INDIA-BANGLADESH RELATIONS (TILL 2009)

- **Geography binds India-Bangladesh together.** India shares a largely porous **4,096 km** of land border with BD. This border runs along the states of West Bengal, Assam, Meghalaya, Tripura and Mizoram. Bangladesh is also bound from three sides by India.
- **Bangladesh's Internal Politics and Impact on India**
 - » Over the last 53 years, the relationship between India and Bangladesh has oscillated between a spirit of cooperation and dialogue to one of distrust and diplomatic silence.
 - » The **strongest characteristic** of this relation has been that it typically becomes **favorable during periods of Awami League governments**, while **other governments in Bangladesh have taken a more skeptical view of India**, considering it as a threat to Bangladesh's security and independence.
- **The "Honeymoon Period" of India Bangladesh Relations**
 - » 1971-1975
 - » Awami League Government pursuing a "clear pro-India policy"
- **The Military Regime years - Declining Relations:**
 - » The Bangladesh India relationship declined sharply after 1975 as **Zia ur Rehman** looked to build a domestic base of support by emphasizing the **Islamic identity of the state**, rallying religious elements, and alienating secular opposition.
 - » **The strategy held rhetorical merit due to numerous past disputes**
 - **Border disputes: Enclave related issues**
 - **Impact of India's accession of Sikkim 1975 and Further development after that**
 - Bangladesh-India relations became hostile
 - Zia regime cultivated closer ties with China, Pakistan and other Muslim countries.
 - Bangladesh also **started acting as conduit for arms and home based insurgents in northeast India**.

- **Consolidation of Democracy in Bangladesh: 1990 - 2009**
 - » The beginning of 1990s saw advent of democratic government after 16 years of military rule. However, with BNP in power, the new system didn't bring change in policies.
 - » **Awami League in government 1996-2001 -> Relations Improved**
 - The two nations concluded Ganges water sharing agreement which India had refused to sign with any previous governments, finally outlining the plans for the Farakka Barrage.
 - Progress was still limited because Awami league had only small majority and the government in India raised illegal Bangladeshi migration issues.
 - » **Return of BNP in 2001 (Khalida Zia was the PM)**
 - Relations froze once again
 - The differences in security perceptions - led to hardening of their policies towards India.
 - » **From 2006-09 - Bangladesh military resumed its rule of the country through caretaker government**
 - Some progress -> both countries agreed to cooperate on counter terrorism in 2007.
- **India's Initial lack of interest:** Over the years, India's foreign policy remained Pak centric and BD was not given its due importance.

2) SHEIKH HASINA ERA (2009-2024) – POSITIVE TRANSFORMATION IN RELATIONS

- Once elected with a stronger mandate, Sheikh **Hasina** quickly set about reforming the Bangladesh-India relationship in what has been termed an **"India- Positive"** policy.
- **Under Hasina**, in Bangladesh over the years, a growing domestic political consensus, overriding fractious politics, had emerged in favor of close ties with India.
- **Security Cooperation between the two countries had increased**
 - She began a nationwide crackdown to shut down terror camps and extradited over 20 "most wanted" men accused of terrorism and crime in India.
 - E.g. **Anup Chetia**, the leader of ULFA was arrested and extradited to India.
 - She also launched a campaign against religious radicalization.
 - She worked towards ending border tensions caused by illegal immigration into India. Several Border patrolling agreements led to increased cooperation between BSF and the Border Guards of BD. The two forces have also started coordinated patrols, joint military exercises and intelligence sharing.
 - In 2018, the BSF DG had said: "Relations between India and Bangladesh and the two border guarding forces are at their best right now".
 - India has also extended credit line for armament purchase and MOUs related to defence cooperation including naval cooperation has also been signed.
- **Finalization of Land Boundary Agreement in 2015** removed a major source of tension between the two countries.
 - Like the 1996 Ganga Water Sharing Agreement, the leadership of Sheikh Hasina played a crucial role in the successful conclusion of the enclave issues. From 1st Sep 2015, enclaves were official exchanged.

- **Increasing Regional Cooperation:** India's **neighborhood first policy** has focused on BD, which has emerged as a key interlocuter in **India's Act East Policy** and sub-regional groupings like BIMSTEC and the BBIN. Bangladesh has become a **lynchpin to India's regional connectivity plans to Southeast Asia and the Indo-Pacific.**
- **Trade concessions and growth of Bangladesh-India Trade:**
 - The Manmohan Singh government followed by the Modi government gave Bangladesh trade concessions and **low-interest Line of Credit** to help Ms. Hasina revive the economy, which she was able to do successfully.
 - **Bangladesh** has become **India's biggest trade partner in the subcontinent** and India is **Bangladesh's 2nd largest trade partner in entire Asia** (after China). In FY24, the **bilateral trade amounted to \$13 billion.**
 - Bangladesh is also the **biggest destination for India's cotton export** -> **34.9% of India's total cotton export** goes to Bangladesh.
 - India's biggest import from Bangladesh is that of **ready-made garments**. In recent years, Bangladesh had emerged as a major global hub for textiles.
 - The two countries had also **started discussion on an FTA in 2023** which would reduce or eliminate custom duties on goods traded between India and Bangladesh.
 - Trade was further enhanced through **border haats, and connectivity through rail, road and river links.**
- **Connectivity has also seen improvement over last few years:**
 - Various projects were focused on **enhancing maritime trade for India's landlocked northeastern states via Bangladesh's Chattogram and Mongla seaports,** rebuilding age old connectivity links severed during the 1947 partition.
 - **Train services** between Dhaka-Kolkata and Kolkata-Khulna are doing well. **Akhura-Agartala cross border rail link** and **Khulna-Mongla Port rail line** - were inaugurated in Nov 2023. Akhura-Agartala route has reduced the distance between Kolkata and Agartala to 10 hours from 31 hours and was expected to boost tourism, trade, and people-to-people contact between the two people.
- **Developmental Support by India: Line of Credit by India:** Since 2010, India has **extended a line of credit worth \$8 billion for developmental finances to Bangladesh.**
- **Energy Cooperation was deepening** between the two countries: India had also become a **partner in BD's nuclear power program.**
 - Bangladesh is an **important buyer of Indian energy off the subcontinental grid.**
 - Indian companies are constructing power projects totaling more than 3600 MW.
- **Newer Areas of Cooperation** such as **Cyber space** was also emerging **BD has provided cyber connectivity between the international gateway at Cox's Bazar to Agartala for faster internet connectivity in India's north-eastern states.**
- **Cultural Exchanges**
 - India is providing **scholarships for Bangladeshi student to study in Indian institutions.**
 - In 2010, **Indira Gandhi Cultural Center** was opened to **facilitate cultural exchanges.**

3) CURRENT POLITICAL TURMOIL IN BANGLADESH AND OUSTER OF SHEIKH HASINA

- **Reasons for Turmoil:**

- **Increasing unpopularity of Sheikh Hasina**, here relentless determination to concentrate power in her hands; her turning of her party into a personal fief, repeated rigged elections (most international poll watchers deemed the 2024 elections as rigged), a hardening monopoly over power, boycott of the 2024 elections by the opposition, her inability to heal the deep political divisions in the country over its identity and history, her tendency to marginalize the opposition; post-covid economic challenges etc had built an anti-regime steam in Bangladesh for a while.
- The **student movement against quota** provided the final trigger for the political blowout.
- **'Foreign Hand'?:** Sheikh Hasina appears convinced that US overthrew her because she refused to give America a military base.
 - "Though USA is looking for military bases and facilities to respond to Chinese military challenges in Asia, but to suggest that the US so desperately needs base in Bangladesh that it is organizing a coup would be **outlandish**": C Raja Mohan
- **Key outcomes:**
 - **Ouster of Sheikh Hasina:** On 5th of August, PM Sheikh Hasina had to resign and leave the country.
 - **Resignation of Chief Justice of Bangladesh and two judges** following ultimatum from students.
 - **Key position holders in other sectors** such as vice chancellors of reputed universities have also started resigning.
 - **An Interim Government** led by Nobel Laureate Muhammad Yunus has taken charge of a fractured Bangladesh after a meeting between President Mohammed Shahabuddin, military rulers and student activists.

4) IMPLICATIONS FOR INDIA

- **Ms Hasina's ouster is a setback for India** as both countries have transformed ties on every front in the past 15 years. The certainty of last 1 and a half decade have given way to a sense of unknown. The worry is that all the progress made on the economic front, border security, defence and strategic ties, trade and connectivity, and linking people to people contact could be undone.
 - » Further, Ms. Hasina's presence in India is viewed with suspicion in Dhaka. Things may get trickier if the new government in Bangladesh demands her extradition.
- **Elections in Bangladesh may throw up the BNP as winner**, and in the past India's experience with Ms. Zia's last stint in power (2001-2006) was bitter. During this period, Bangladesh had become a haven for violent anti-India separatists' group, and **China and Pakistan made inroads**.
- **Border Security** may again become a concern. With India facing serious concerns on borders with Pakistan and China, the new reality with Bangladesh bodes ill for national security.
- **Insurgency in North-east:** Before Sheikh Hasina, BD had become a safe haven for insurgent groups of the north-east. If the situation re-emerges, the security situation in north-east may worsen.
- **India's connectivity to north-east:** A disruption in Indo-Bangladesh ties could restrict India's access to the north-east, which will be connected to mainland India through the narrow Chicken Neck - only 22km at its narrowest - between West Bengal and Assam.
 - » Hampered connectivity may also negatively impact development in the north-eastern India.
- **Rise of Islamist extremism in Bangladesh** is another challenge that India needs to closely watch. Before Hasina era, various extremist groups were flourishing under patronage of BNP government. Many of these groups, such as Ansarullah Bangla Team, the Hizb ut-Tahrir, and the Jammat-ul-Mujahideen Bangladesh (JMB), have links to various terrorist outfits based in Pakistan as well as to the Inter-Services

Intelligence (ISI). The present situation in Bangladesh opens up new possibilities for reviving these links. Jamaat-e-Islami is believed to be the key instigator of the recent riots to topple the government.

» Violence against Awami league sympathizers and their property, demolition of Bangladesh Liberation including the statue of Sheikh Mujibur Rehman, and attack on Hindu minority community is a case in point.

- **Future of developmental projects funded by India:** India is also worried about the fate of an estimated \$4-5 billion of credit and grants that have been already disbursed to Bangladesh for various developmental projects. It is not certain whether the interim government and new government will take ownership and honor the sovereign guarantee. Many of these projects and Line of Credits were criticized by opposition parties and some others in Bangladesh on grounds of alleged corruption.
- **Future of cooperation through BIMSTEC** becomes uncertain: For e.g. India and Bangladesh were supposed to sign a multilateral maritime transportation agreement to increase regional trade and connectivity, at the upcoming 6th BIMSTEC Summit meeting in September. However, the prospects for these now seem uncertain.
- **Future of cooperation on other fronts** including energy, health, climate change and disaster management also remains unclear

5) WAY FORWARD AND CONCLUSION

- **Engage with all spectrum of political leadership** - Don't put all eggs in the same basket: India's engagement with Bangladesh shouldn't be Party Centric. There is a need to engage the emerging political stakeholders in Bangladesh to build on the existing solid foundation of the bilateral strategic partnership.
- **Engage with people of Bangladesh:** India should leverage the shared cultural history and economic complementarities and build people to people relations to strengthen India Bangladesh Relations. C Raja Mohan says "Delhi must also signal empathy for the student movement that is seeking political liberalization and wider economic opportunities".
- **Revive Cooperation in South Asia:** In the absence of integration and cooperation among south Asian countries, the region is becoming a playground for US-China rivalries, where neither shows a sensitivity to India's interests.
- **More Intensive India-USA consultation and cooperation in Bay of Bengal and its littoral** is required in light of current crisis in Bangladesh and the gathering storm in Burma.
 - » It is expected that ties between USA-BD will improve as US was consistently inimical to the Hasina government, and have even been accused of instigating her downfall.
- **Resolve the existing strains in India-Bangladesh Relations:**
 - » **Teesta Water Issue**
 - » **Improve Trade Balance:** Currently trade is balanced in India's favor which hampers India's image in Bangladesh
 - » **India should carefully re-examine its role in return of Rohingya refugees in BD**
 - » **To prevent problems such as the ones which may emerge from NRC or illegal migration issues,** the two countries should try and develop and long-term joint strategy that will facilitate national identification and generate a system of work permits for legitimate movement of labour.

- **Prioritize the connectivity from the Indian east coast (Odisha/Andhra)** through BD ports to Agartala in NE India.
- **Cooperate in the field of Blue Economy and Disaster management:** As both the countries are similarly situated, and cooperation can ensure better results for both. It would also help in improving relations between the two countries.
- **Dealing with China's increasing influence:** India needs to orient itself in such a manner that Dhaka doesn't have to make a binary choice

Conclusion: Though, the departure of Sheikh Hasina draws curtains on the "golden chapter" of India-Bangladesh relations, but the shared cultural legacy, geographical connect and socio-cultural bonds make India and Bangladesh natural partners. Therefore, peaceful co-existence and collaboration between the two nations are essential, as they navigate the new era in their relationship.

6. INDIA-NEPAL

1) NEPAL'S LATEST COALITION RESHUFFLE (JULY 2024) AND ITS IMPLICATION FOR INDIA

- **What happened?**
 - In an unexpected turn of events in Nepal, the political parties on the edges of the spectrum, Nepali Congress (NC) and Communist Party of Nepal - United Marxist Leninist (CPN-UML) have joined hands to form a government under the leadership of CPN-UML Chair, KP Sharm Oli - who has now become the Prime Minister of Nepal.
- **This marks the continuation of perennial political instability:**
 - This change marks the fourth change in the ruling coalition within 19 months of the last general elections in Nov 2022.
 - » The election had given fractured mandate with NC (89/275 seats) and CPN-UML (72/275) emerging as the two largest parties. But, Pushpa Kumar Dahal (Prachand) of Communist Party of Nepal - Maoist Centre (CPN-MC) despite having only 32/275 seats in the house of representatives, was able to remain Prime Minister - first by partnering with CPN-UML, and then in March 2023 with Nepali Congress. Again in March 2024, he re-switched his alliance to CPN-UML due to pressure from internal and external fraction to join hands with Oli.
 - » **Now (July 2024)**, the short lived coalition has been replaced by a seven point deal between two largest parties. As per the deal, Oli will lead the government for two years and it will be followed by NC Chair Sher Bahadur Deuba till next election in 2027.
- **Impact:**
 - **Decrease in China's influence:**
 - » China has been wanting to keep the left parties (CPN-MC and CPN-UML) together.
 - » The new minister of foreign affairs (Arzu Rana Deuba of NC) has stressed that implementation plan for BRI, China's flagship initiative can't be signed in current status without wider research, consultation and discussion.

- The earlier CPN-UML and CPN-MC government had almost signed the document during the meeting of Nepal China diplomatic consultation process in June 2024.

- **Conclusion:**

- "In a politically fluid environment, where horse trading is rampant, the India-Nepal relationship needs 'equality, mutual trust, respect and benefit' to sustain itself, irrespective of whoever is in power": Rakesh Sood.

2) INDIA-NEPAL RELATIONS

- **Introduction/Background**

- » Nepal-India relations are as old as the history of human civilization. No two countries of the world are as much tied together through the bonds of geography, culture, social bonds, economic dependence, religion and language as these two countries.
- » But, the goodwill between the two nations have dipped sharply in recent years especially after 2015.

- **Reasons for excellent relations in the past:**

- » India's leadership and Indian people have been generally conscious of the self-respect and pride of the Nepalese people. Jawaharlal Nehru wrote in 'Discovery of India' and in 'Glimpses of World History' that ***Nepal has been the only truly independent country in South Asia.***
- » **Geography:** Nepal being landlocked is dependent on India for most of its imports and exports. Many rivers that flow through Indian plains originate in Nepal.
- » **Cultural and Linguistic Similarities:**
 - Culturally there is a lot of similarity between India and Nepal in terms of food, clothing, and festivals we celebrate.
 - The major religion of Nepal - Hinduism is the religion for majority of Indians.
 - Indians consider Nepal as "Punya Bhoomi" and this has been reiterated by PM Modi on several occasions. Nepal's sacred geography is a living repository of subcontinent's spiritual heritage.
- » **Bilateral relations are Unique and intimate**
 - We have open borders - No visa is required for Nepalis to travel to India and vice-versa.
 - Many Nepalis work in India and send remittances back to Nepal and vice-versa.
 - India offers National Treatment to the citizens of Nepal on Indian soil. Nepalis are free to come and work in India, including in Central Government services.
 - India doesn't offer these concessions to any country, nor would Nepal get it from anywhere else. This kind of closeness is rarely seen in modern nation states.
 - Easy movement across the border has also facilitated marriages between two sides. This roti-beti rista among the people rejuvenates the relations at the people to people level between the two countries.
- » **India is a proactive partner in the development of Nepal:** India has contributed to the development of energy, infrastructure, education, health, water and other sectors of Nepal's economy.
 - Nepal's first two plan beginning in 1956 were virtually financed by India.
- » **Economic Cooperation:**

- India is a major trade and transit partner for Nepal, where a number of Nepalis continue to earn a living or pursue higher education.
- Nepal is crucial for growth and development of UP and Bihar.
 - A stable and prosperous Nepal would be a catalyst for this region.
- For Nepal, India is the vast economic hinterland and may well be called its "Karma Bhoomi"
- Recently in Feb 2024, India's RBI and Nepal's Nepal Rastra Bank (NRB) signed and exchanged Terms of Reference (ToR) to integrate UPI and NPI for faster remittance.
- **Energy Cooperation** leading to energy security for India
 - In 2023, Nepal sold green energy worth INR 9.6 billion to India. It is likely to increase to INR 15.6 billion in 2024.
 - For e.g. during June 2023, Nepali PM Prachanda's visit several agreements were finalized:
 - Agreement to increase the export of power from Nepal to India to 10,000 MW within 10 years.
 - Development of new transmission lines
 - MoU for the construction of a petroleum supply pipeline between Siliguri and Jhapa.
 - Extension of existing pipelines and construction of new pipelines.

» **Political Cooperation:**

- While the political relations in the past has been very cordial. Nepali political leaders had participated in India's freedom struggle.
 - The 1950 - Treaty of Peace and Friendship formed the base of political relations. India has also undertaken many capacity building programs related to democratic institutions.
- **Yet**, in recent years the political relations have gone through more ebbs than flows. It has been due to big-brother perception of India, China's influence and Border dispute.

- **Importance of Nepal for India**

- Buffer State B/w India and China:** China has rapidly modernized infrastructure in Tibet and had proposed to connect Nepal to Tibet via railways. China could use Nepal to fulfil Mao's 5 Finger Policy after rail connectivity. It considers Tibet as palm and the 5 fingers are: Ladakh, Nepal, Sikkim, Bhutan and Arunachal Pradesh
- Defense Cooperation:**
 - » India has been helping Nepali Army in its modernization efforts by providing equipment and training.
 - » The two countries also engage in joint military exercise (E.g. Exercise Surya Kiran)
 - » Gurkha Regiment of Indian Army has thousands of Gurkha soldiers from Nepal.
- Internal Security:** Good relations with Nepal can help us in reducing demand for Gorkhaland and controlling Maoists who in the past have found safe havens across the border.
 - » Further, in times of tensions between India and Nepal, there is an escalation of the smuggling of drugs, arms, and terrorist related cross border activities masterminded from Pakistan against India, from Nepalese soil.

- » For e.g. Nepal has emerged as a hub of trans-national gold smuggling in recent years.
- iv. Energy Security: already discussed above
- v. **Disaster management**: Many natural disasters in India like floods, glacial lake outburst flood etc. can be better managed with increased cooperation with Nepal.
- vi. **Remittances**: Nepal contributes to 7th largest remittance for India specially in parts of Uttar Pradesh and Bihar.
- **Key problems being faced by India-Nepal relations**
 - i. **Perceived Big Brother Role**: In certain political circles of Nepal it is felt that India has taken Nepal for granted and have shown a Big Brotherly Behaviour - e.g. the signing of 1950 treaty by India's Ambassador and King of Nepal.
 - There are allegations of political interference by India in the internal affairs of Nepal.
 - ii. **1950 Treaty (Treaty of Peace and Friendship)** has also emerged as a hurdle in India's good relations with Nepal. Many groups in Nepal feel that treaty was unequal and not signed between democratically elected leaders. It constraints Nepal's sovereignty as it gives India an unprecedented access to Nepal. (see details in the separate topic below)
- **Several other factors led to worsening of relations after 2015:**
 - » **The new Nepali Constitution**: It was seen as discriminatory against Madhesi who are basically Hindi/Maithili/Bhojpuri speaking people from Uttar Pradesh and Bihar living in the Terai region of Nepal.
 - **Blockade imposed by India** during Madhesi protests - This blockade lasted six months and led to a lot of discomfort in the form of inflation etc. for the people of Nepal.
 - **Perception of Indian Interference in the Madhesi agitations** of the last decade, led to hyper nationalists fanning anti-India rhetoric.
 - **Nepal-China Agreements**: Nepal government led by PM Oli reacted sharply and on rebound signed 10 agreements with Beijing, extending from trade, transit, to power and transport.
 - **Overwhelming presence of Indian Media and their lack of sensitivity** in reporting during the 2015 earthquake relief work annoyed a lot of Nepal's population.
 - » **Kalapani boundary issue**: It was deliberately stoked as a nationalist cause by Mr. Oli in 2019 and 2020, when his position as Prime Minister was under threat.
 - Nepal amended its Constitution to add the Limpiyadhura-Kalapani triangle to its own map on the northwest.
 - » **Agnipath Scheme** in armed forces has also led to dissatisfaction for the Nepali Gurkhas aspiring to join Indian armed forces.
 - » **India's relentless engagement with Nepal's politics and governance** - is seen as continuation of interference by India in internal affairs of Nepal and goes against the principle of non-interference that is part of Panchsheel doctrine.
- **Other pre-existing constraints in India-Nepal Relations:**
 - i. **River Agreements**
 - As per the agreements India has the responsibility to check floods in both countries.

- But India's Janakpur Barrage on Sharda River prevents flood in India and causes flood in Nepal.
- ii. **Stalled Projects:** Several of Indian projects are stalled or haven't been started. For e.g. Mahakali Treaty signed in 1996 for an integrated development of barrage, dams, and hydropower for mutual cooperation hasn't seen much progress.
- **The way Forward for India towards Nepal**
 - a. **Recognize that the Delhi's much-vaunted "special relationship" with Kathmandu is part of the problem:** For good relations India needs to put all major bilateral issues on the table for negotiation - including the 1950 treaty, national treatment of nepal citizens in India, the open border and visa-free travel.
 - b. **Engage with all sides of the political spectrum in Nepal:** Try to reduce the perception that India has one particular political favorite in Nepal.
 - c. **Avoid too deep overt involvement in Nepal's internal affairs:** Even if the interest of Madhesi people has to be prioritized, it should be done without antagonizing hill elites. Frequent political intervention damages India's strategic interest.
 - d. **Make Nepal Studies as an important Academic discipline in India:**
 - **Ministry of External Affairs** focus on Nepal should change from exclusive geo-strategic to more deeper engagement and understanding.
 - MEA should, deepen its study of Nepal. An understanding of the geography, demography, economy, the democratic urge of the citizens, as well as the history of the oldest and non-colonized nation-state of South Asia makes Nepal (comparatively) a different kind of country within South Asia.
 - e. **Strengthen economic ties:** More economic inter-dependency will enhance political goodwill.
 - Focus on completion of committed projects.
 - Improve trading infrastructure especially on Indian side.
 - Do feasibility study for a multimodal trading hub along the Border.
 - Improve ease of doing business for Nepali Businesses through improved transborder roads; simplified transit agreements etc.
 - f. **Enhance people to people cooperation:**
 - Bolster cultural linkages
 - Measures to ensure safety, security, and inclusiveness for Nepali citizens in India.
 - g. **Resolve Border Dispute:** The report of Eminent person's Group which was submitted in 2018, should be discussed and attempts should be made to implement it.
 - h. **Come to terms with Nepal's natural politics of balance between India and China**
 - Rather than object to Kathmandu's China ties, Delhi must focus on how to advance India's relationship with Nepal. "India should bet that the logic of Nepal's Economic Geography, its pursuit of enlightened self-interest, and Kathmandu's natural balancing politics, will continue to provide a strong balancing framework for India's future engagement with Nepal": C Raja Mohan
 - **Instead of viewing Nepal as a Buffer State , it can become a Land Bridge.** India can utilize the Chinese Infra to its own advantage.
 - It would also open up the Tibetan society which has remained closed since 1950s control of China.

- Also, Nepal's nearest port will always be in India and the Gangetic plain will remain its largest market. If Delhi respect the logic of profound interdependence with Kathmandu and act in tune with it, India would have fewer reasons to worry about China's increasing profile in Nepal
- i. **Enhance Regional Cooperation in South Asia:** Both India and Nepal needs to revive SAARC for the sake of increased cooperation in South Asia, which holds around 25% of the global population.
- j. **Increasingly collaborate on Challenges emerging due to climate change** - Landslides, Glacial lack outburst floods etc. are some common challenges which will impact India and Nepal. Increase collaboration in these fronts can contribute in strengthening of relations on other fronts.
- **Conclusion:**
 - » Discarding the appearances of the “special relationship” might, in fact, make it easier for Delhi to construct a more durable and interest-based partnership with Kathmandu that is rooted in realism and has strong popular support on both sides. A normal relationship where India can be a generous partner will be a better foundation for "neighborhood first" in the 21st century.

3) THE 1950 TREATY (TREATY OF PEACE AND FRIENDSHIP)

- **About the treaty**
 - » The treaty was signed in the background of Maoist Revolution in China, and the subsequent takeover of Tibet. In this background, Nepal sought an understanding with India and the treaty in large measure, reflect the provisions of the 1923 treaty.
 - » It offered economic opportunities in India for Nepali nationals against Nepali assurances that India's security concerns would be respected.
 - » The treaty allows for the free movement of people and goods as well as the issuance of work permits.
 - » The treaty allows Nepal to import weapons from or through India which are necessary for Nepal's security.
 - » **National Treatment** to each other's nationals in each other's territory with regard to participation in industrial and economic development of such territory and to the grant of concessions and contracts related to such development.
- **Why Nepali parties (especially the Maoist party) keep demanding amendments?**
 - » The criticism of the treaty had started from the beginning itself. The initial criticism was based on India abandoning its support for incipient democratic movement in Nepal to expediently get this treaty approved by autocratic Rana regime.
 - Nepali elite feels that the **treaty was unequal** and **not signed between democratically elected leaders**. The treaty was between Indian Ambassador with Prime Minister Mohan Shamsher Rana of Nepal. This is considered disrespectful by Nepali people.
 - » The treaty is seen as **constraining Nepal's sovereignty** to be compatible with India's security perception.

- » The treaty is seen as one-sided and gives India an unprecedented access to Nepal. Even for people who agree to the economic benefits of the treaty, they feel that existing shape was not compatible with national self-respect of Nepal.
 - » Open borders have led to exploitation by Indian businesses. It has also increased problems such as Drug and Human trafficking, fake currencies etc.
 - » India has recently amended a similar treaty with Bhutan but has shown unwillingness to do that with Nepal.
- **Key arguments for amending the treaty:**
- » Treaty is nearly six decade old and is not much relevant for current geo-political situation.
 - It's relevance for India's current security concern is questionable.
 - » China is no longer the only security concern in the sub-region, and in any case it is doubtful if it needs to ally itself with Nepal in order to create problems for India.
 - » The treaty is already respected more in breach than in observance.
 - Indian nationals in Nepal had long ago lost any entitlement under the "national treatment" clause; They can still travel to Nepal without visa and Indian rupee is legal in Nepal, but permission to work, purchase property, and engage in activities on par with the Nepalese is usually not available. Thus the treaty is **unequal for India too**.
 - Gurkha recruitment to Indian army continues but there is already a demand to phase this out and increase the intake of Indian Gurkhas.
 - Nepali migrants in India also don't have same rights that they used to enjoy earlier.
 - Nepal has also from time to time raised concerns about elements from India misusing the open border (both Maoists and Madhesis).
 - » **Therefore, India needs to review the treaty with an open mind rather than as a necessary evil** - because Maoists are demanding it.
- **Way forward:**
- » The first step should be initiating extensive free debates and explore possibilities of cross party consensus on the kind of treaty or cluster of treaties which would comprehensively address the real security concerns, military as well as non-conventional, for people on both sides of the border.
 - » A track two interaction could seek to narrow the differences, with the government representation but in the background.
 - » Then in last phase should come official negotiation.
- **Conclusion**
- » This long festering problem can and should be resolved to the mutual satisfaction of both the countries in such a way that it promotes peace and development in both the countries.

4) BORDER DISPUTE BETWEEN INDIA AND NEPAL

- **Why in news?**

- » The Prachanda cabinet decision to put a map showing areas in India as part of its territory on a new currency note has drawn a strong reaction from New Delhi (May 2024)

- Example Questions

- » "Territorial dispute between India and Nepal is merely a symptom of the structural changes unfolding in the external and internal context of the bilateral relationship" Discuss [15 marks, 250 words]
- » Discuss the reasons for origin of India Nepal Border Disputes. Why has the issue been blown disproportionately in recent years [15 marks, 250 words]

- Background

- » Till last decade, it was considered that India and Nepal **didn't have any major boundary dispute**. In fact, it had been reiterated on several occasions that **98% of the border related matters had been settled with India**.

- » Nepal's western boundary with India was marked by Treaty of Sugauli in 1816. The treaty was signed between East India Company and Nepal. **Kalapani** (at trijunction of Nepal, Tibet and India) and **Susta** (a vast area near Nepal Uttar Pradesh Bihar border) are the only two unresolved boundary issues between the two countries.



- Key aspects of Kalapani dispute:

- » The 1816 treaty had made Kali River as the western boundary between India and Nepal. But because of poor state of cartographic science and technology at the time, different maps showed tributaries at different places.
- » The key source of Kalapani dispute is the difference in perception over **real and primary source of Kali river**.
- » **Nepal** claims that the river originates from Limpiyadhura in the higher Himalayas, giving it access to a triangular-shaped land defined by Limpiyadhura-Lipulekh and Kalapani.
 - Further, Nepali authorities claim that the people living in the low density Kalapani area were included in the census of Nepal until 58 years ago (i.e. till 1961)
 - Nepal adds that the late King Mahendra had "handed over the territory to India" in the wake of Indo-China 1962 war. Similarly, Lipulekh was deleted from Nepal's map by the kings to get favor from India.
 - Nepal has also expressed displeasure that the 2015 agreement between India and China for using the Lipulekh was reached without consulting Nepal.
- » **India** opposes the notion and says the origin of the river is much further down, which reduces Nepal's territorial demand.

- The British used the Lipulekh pass for trade with Tibet and China. The Survey of India maps since the 1870s showed the area of Lipulekh down to Kalapani as part of British India.
 - The Rana rulers of Nepal and the Nepalese King had accepted the boundary and didn't raise any objection with the government of India after India's independence.
- **Key Aspects of Susta Dispute**
 - » In case of **Susta Controversy**, the origin of the problem lies in shifting of the course of the river. This is also a frequent occurrence in river shared by neighboring countries.
- **Efforts to resolve the boundary dispute**
 - » The **Nepal-India Technical Level Joint Boundary Working Group** was set up in 1981 to resolve boundary issues, to demarcate the international border, and to manage boundary pillars.
 - By 2008, they had finalized map for 98% of the boundary and only two disputed sites of Kalapani and Susta remained.
 - » In **2014**, the matter was referred to a **new mechanism** consisting of **foreign secretaries** of both the countries.
 - » In 2017, Mr. Modi and Mr. Oli had together nominated the eight member India-Nepal Eminent Persons' Group. The team had finalized a consensus report in 2018, whose implementation is expected to lift bilateral relations towards a transparent and confident and equal partnership.
- **Events of Nov 2019 and May-June 2020**
 - » In Nov 2019, India had published new map in the **wake of creation of UTs of J&K and Ladakh, both Kalapani and Susta were shown as part of Indian territory.** This had triggered many protests in Nepal in spite of the fact that the map in no way had changed the boundary between India and Nepal.
 - » In **May 2020**, Defence Minister Rajnath Singh inaugurated **Darchula-Lipulekh link road** that passes through disputed region and will cut travelling time to ManSarovar pilgrimage destination. **This had put India and Nepal on a collision course.**
 - » In June 2020, Nepali Parliament amended the Constitution (2nd amendment) to claim Kalapani, Limpiyadhura and Lipulekh of Uttarakhand as part of its sovereign territory
 - » **India** has criticized this and have said that enlargement claims are artificial, lack historical backing and thus are untenable. India also claims that the changes are contrary to bilateral understanding to resolve the outstanding boundary issues through diplomatic dialogues
- **May 2024:** Nepal cabinet decided to put a map on its Rs 100 currency note showing certain areas administered by India in Uttarakhand as part of its territory.
 - » External affairs minister said that such unilateral measures by Kathmandu wouldn't change he reality on ground.
- **Why has Nepal Escalated the issue in recent years?**
 - » "Territorial dispute is merely a symptom of the structural changes unfolding in the external and internal context of the bilateral relationship": C Raja Mohan

- » **Domestic Political Pressure on Oli -> Raising Boundary dispute and Nepali Nationalism diverts the country from Internal issues**
 - The other side of the Nepali Nationalism is **anti-Indianism**.
- » **India has ignored the changing political narrative in Nepal for far too long.**
 - India's "special relationship" with Nepal today carries negative connotation - that of a paternalistic India that is often insensitive and worse still, a bully.
- » **China Factor:** Today, China is pursuing a more assertive foreign policy and considers Nepal an important element in its growing South Asian footprint.
 - China have got a lot of influence on the political parties of Nepal (especially on CPN(MC) and CPI (ML) who had government in June 2020. Thus, both covert and overt Chinese influence in recent action by Nepal is clearly visible.
- **Way forward**
 - » The bilateral border dispute should be **handled quietly, bilaterally and through diplomacy.**
 - "The urgent need today is to pause the rhetoric on territorial nationalism and lay the ground for a quite dialogue where both sides need to display sensitivity as they explore the terms of a reset of the 'special relationship' ": **Rakesh Sood**. [quote only for Political Science Optional]
 - » **Maintain the uniqueness of India-Nepal Boundary mechanism:** Unlike political boundaries between most other countries, the India-Nepal Political boundary hasn't been allowed to disrupt the age old traffic of people who share ties of kinship, religion and culture. We shouldn't allow rising territorial nationalism on Nepali side and an emerging security state on Indian side to threaten it.
 - » **Both countries should understand designs of China:** China will benefit most from the deteriorating relations between India and Nepal
 - » Other steps to improve India-Nepal relations - already discussed in details above.
- **Conclusion:** India and Nepal must invest in removing various constraints in the relations including reforming the friendship treaty and border dispute. Border dispute is a manifestation of strain on other fronts. With reduced tensions on other fronts, it would be easier to resolve the border dispute.

5) NEPAL-CHINA RELATIONS AND ITS IMPACT ON INDIA

- **Introduction:**
 - » China's influence in Nepal has increased in the past decade through various diplomatic and economic initiatives. Connectivity projects are forming the backbone of this closeness.
- **Manifestation of China's unprecedented closeness with Nepal:**
 - » **Increasing influence in Polity of Nepal:** China had nurtured unity among the left parties in Nepal(CPN-MC and CPN-UML). In fact, in 2018 the two parties for had merged to form Nepal Communist Party NCP. This merger had lasted for 3 years.
 - » **Increasing Trade and Investment:**
 - To woo Nepal, China has **reopened all 14 trade points** with Nepal, including the Kimathanka transit point. These border points were lying closed for nearly four years following the outbreak of COVID-19.

- China is also the largest source of FDI in Nepal. Chinese FDI in Nepal include projects like Hongshi Shivam Cement, Pokhara International Airport, Upper Trishuli Hydropower Project, and West Seti Dam.
 - The Tibet Autonomous Region of China has also promised funds to Nepal for five years for building schools, health posts, solar electricity etc, for Nepalese living in 15 districts bordering China.
 - » **In 2017, Nepal signed the BRI agreement with China** on 12th May 2017.
 - Under this Beijing is aiming to connect Kathmandu to Lhasa in Tibet via Railways. Nepal feels that this will lead to globalization of Nepali Economy.
 - Under BRI, initially Nepal proposed 35 projects, which has now been reduced to nine.
 - » **Efforts to increased people-to-people contact:**
 - **China** has also exempted visa fees for the Nepalese from 1st May 2024.
 - It has also promised to launch commercial flights from China to Pokhara and Bhairahwa International Airports of Nepal.
 - China has also shown interest in resuming the Kathmandu-Lhasa direct bus service.
 - China is also giving scholarship to Nepali students and is creating a perception in Nepal that China gives respect to Nepali people.
 - » **China took advantage of 2015 tensions between India and China** and immediately supplied 1.2 million liters of Kerosene to Nepal.
- **Impact:**
- » Reduction in India's economic and strategic clout over Nepal.
 - » The increasing China-Nepal engagement may also allow **China to reach India's Terai through Himalayas** and hence may raise security challenges for India.
 - It is already believed that because of Open-Border between India and Nepal, many Chinese spies may be present in India.
- **Why Nepal would always remain closer to India than China?**
- » China can't replace the cultural, economic, religious, social, geographic and people-to-people link that Nepal has with India.
 - » **But it doesn't mean Nepal can't have good relations with both** countries. International relations should not be seen as a zero sum game.
 - » **India should keep the following points in mind to ensure Nepal remains in India's sphere of influence**
 - Being a much bigger economy, India should be generous and consider how to reduce trade deficit with Nepal.
 - India must not get paranoid by seeing good relations between China and Nepal. We should understand that no one can replace India's position in Nepal. India must not expect Nepal to take a position against China to assure itself that Nepal is indeed close to Delhi.
 - India must remember that Geography is on our side and not country can replace India for Nepal. (For e.g. even the petroleum agreement during Oli's previous term will be difficult to implement, because of Geography).

- » Further, financial crisis in Sri Lanka and Pakistan have made Nepal vary of China's loan.
 - For e.g. the proposed Shigatse (Tibet) - Kathmandu rail link, have stalled mainly because Nepal wants these to be financed through grants rather than loan.

7. BIMSTEC

- **Why in news?**
 - » India hosts BIMSTEC foreign ministers amid raging Myanmar crisis (July 2024)
- **Example Questions**
 - » Discuss the significance of BIMSTEC in fostering regional cooperation and addressing common challenges in South Asia and southeast Asia. Suggest potential areas of improvement and measures needed to enhance the role of BIMSTEC in the evolving geopolitical landscape of the region. [15 marks, 250 words]
 - » "BIMSTEC can be a game changer for growth and development of North-East India" Elaborate. [10 marks, 150 words]
 - » Do you think BIMSTEC provides more potential for regional integration, including physical connectivity and economic cooperation when compared to SAARC? Give reasons [10 marks, 150 words]
- **PYQ:**
 - i. Do you think BIMSTEC is a parallel organization like SAARC? What are the similarities and dissimilarities between the two? How Indian foreign policy objectives realized by forming a new organization? [Mains 2022]
- **Important Quotes**
 - » "For India, it (BIMSTEC) is a natural platform to fulfill our key foreign policy priorities of 'Neighborhood First' and 'Act East'": PM Modi
- **Intro**
 - » BIMSTEC is a regional organization of **7 member states** (Bangladesh, India, Sri Lanka, Thailand, Nepal, Bhutan and Myanmar) from South Asia and Southeast Asia that lie in littoral and adjacent areas of Bay of Bengal.
 - » It is a unique link between South-Asia and South-East Asia. From the very beginning, it has been considered a powerful mechanism to promote opportunities for trade, investment and tourism between these two regions. Societies within BIMSTEC are pluralistic; our languages are rich and diverse, and we have a shared cultural heritage
- **The Objective** of the alliance is to **harness accelerated growth through mutual cooperation** in different areas of common interest by mitigating onslaught of globalization and by utilizing regional resources and geographical advantages.
- It is based on **two basic principles**

- i. To respect the principle of sovereign equality, territorial integrity, political independence, non-interference in internal affairs, peaceful-coexistence and mutual benefits.
- ii. **Constitute an addition to and not be a substitute** for bilateral, regional or multilateral cooperation involving member states.

- **Key Areas of Cooperation:** Unlike many other regional groupings, BIMSTEC is a **sector driven cooperative organization.**

- It has identified **7 sectors:** Of these 7 areas, **Security and energy** is led by India. It includes under it the erstwhile independent sectors of 'Counterterrorism and Trans-National Crime', 'Disaster Management', and 'Energy'.

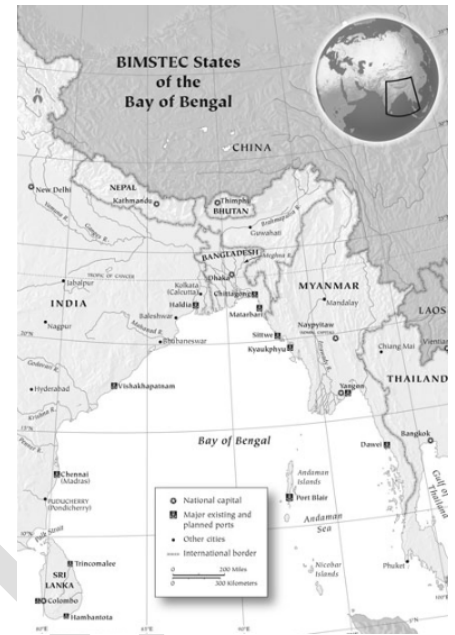
- **Other Areas** are - **Trade, Investment and Development** (Bangladesh); **Environment and Climate Change** (Bhutan), **Agriculture and Food Security** (Myanmar), **People to People Contact** (Nepal), **Science Technology and Innovation** (Sri Lanka) and **Connectivity** (Thailand)

- **BIMSTEC's growth was hindered in the beginning because of:**

- » Lack of political will and collective effort.
- » South Asia's focus on SAARC
- » But, with the decline of SAARC, BIMSTEC has emerged as a very important grouping for regional connectivity in the region.

- **Significance of BIMSTEC for India**

- » **Regional Cooperation** (alternative to SAARC)
 - In the **absence of smooth functioning of SAARC**, the groupings like BIMSTEC can take forward regional cooperation further. Therefore, the main motivation in reinvigorating BIMSTEC is not to counter Pakistan but to enhance regional cooperation.
 - This regional cooperation can help us better deal with common problems like terrorism, disasters, poverty etc.
- » **Regional Connectivity - Also with Southeast Asia**
 - It acts as a **bridge between South and South East Asia** and represents a reinforcement of relations among these countries.
 - It acts as a platform for inter-regional cooperation between SAARC and ASEAN countries.
- » **Sync with India's foreign Policy:** It supports India's **Neighborhood first** and **Act East** policy.
- » **Developing North-East:**
 - BIMSTEC projects are crucial for **development of north-east India.** They will provide better connectivity, increased economic opportunities, more jobs and thus will decrease the alienation of the region.
 - Moreover, plans of Mountain Economy etc. will also help North-East India.
- » There are **economic similarities** between BIMSTEC countries
 - All 7 countries are **developing, highly growing economies**
 - They have sustained average annual growth rates between 3.5% to 7.5% in recent years (exclude the COVID-19 year).



- » **Countering China in the region:** BIMSTEC provides India an opportunity to push constructive agenda and counter China's investments in a collective way.

- **BIMSTEC has more potential than SAARC**

- » **In the past,** India had spent more political capital and efforts to make SAARC work, than on BIMSTEC.
- » However, now we have come to realize that BIMSTEC provides more potential for regional integration, including physical connectivity and economic cooperation than SAARC which is dominated by India and Pakistan and thus naturally hamstrung by tensions between the two countries.
- » BIMSTEC has potential to be more successful as:
 - **Better Cooperation and Trust:** Unlike SAARC, there is an attitude of cooperation, enthusiasm as:
 - There is no Pakistan to veto India's suggestions. Member countries have generally cordial relationships, something patently missing among the SAARC countries.
 - **Two influential regional players - no fear of domination by India**
 - Unlike SAARC BIMSTEC includes two major regional players - **India and Thailand.** This adds to the comfort of smaller neighbours by reducing the fear of dominance by one big power.
 - **BIMSTEC countries have strategic interest in its growth:**
 - **Bangladesh** (at least till Hasina's regime) views BIMSTEC as a platform to position itself as more than just a small state on Bay of Bengal.
 - **Sri Lanka** sees it as an opportunity to connect with Southeast Asia and serve as the subcontinent's hub for the wider Indo-Pacific region.
 - **Nepal and Bhutan** aim to connect with the Bay of Bengal region and escape their landlocked geographic positions.
 - **Myanmar and Thailand** want to connect more deeply with India to access its huge market.
 - **India** finds BIMSTEC as a tool for:
 - Increasing connectivity within south and southeast Asia. It is a natural platform to fulfil our key foreign policy priorities of 'Neighborhood First' and 'Act East'.
 - Pushing a constructive agenda to counter China's investment.
 - **An opportunity to connect South Asia and ASEAN:** The BIMSTEC Is in **sync with India's Act East policy** and **Thailand's Look West Policy.** It also helps countries such as **BD, Nepal and Bhutan** to develop connectivity with ASEAN countries.
 - **BIMSTEC provide more trade opportunities**
 - The region include fastest growing economies in the world.
 - Trade among the BIMSTEC countries have reached 6% in just a decade while it had hovered around 5% among SAARC countries since its inception.
 - **Sector driven cooperation** allows better focus and less diversion.

- **More Chances of Expansion:** Sri Lanka has suggested inviting Indonesia, Malaysia and Singapore -> if this is done it would further lead to enhancement of the role that BIMSTEC can play.
- **Other members are also worried of China** and prefer **India's benign characteristics.**
- Therefore, it can be said that Bay of Bengal can emerge as vehicle of regional cooperation.
- India, which chafed at Pakistan's reluctance to allow progress under the SAARC framework, now has the opportunity to demonstrate that it can do a lot better in the Bay of Bengal.
 - The initiative could range from coastal shipping, terrorism and from the development of underwater resources in Bay of Bengal to protecting the marine environment.
- **Limitations/Difficulties faced by BIMSTEC:** In spite of a lot of potential, some concerns still remain in BIMSTEC
 - » BIMSTEC doesn't have a lot of concrete achievement in more than 25 years of BIMSTEC history. A major failure relates to the continuing inability to produce a **comprehensive FTA** - 20 years after signing of the framework agreement in 2004.
 - » There is a **too much flexibility in the conduct of its process**
 - Summits have been infrequent.
 - A charter was finalized only recently - during 5th Summit in March 2022
 - » **Only limited progress has been made in terms of connectivity:**
 - » Lack of financial resources with the secretariat has hindered the performance of the group.
 - For greater regional connectivity, more financial resources are needed.
 - The movement towards development of the BIMSTEC Development Fund is minimal.
 - No Progress on Blue Economy has been made in the grouping.
 - Business chambers and corporate leaders are yet to be engaged fully with the activities of BIMSTEC.
 - » **Political upheaval in the region** (Sri Lanka, Bangladesh, Myanmar, Nepal etc.) will further hinder the progress of BIMSTEC.
 - » **Earlier, lack of leadership was a major concern.** But since 2016, India has taken a number of initiatives to promote the grouping.
- **Key Progress made by BIMSTEC:**
 - » **Adoption of a BIMSTEC charter** in 5th Summit in 2022. This gives the grouping a legal status. This charter came into force in May 2024.
 - » **Rationalization of priority area** from 14 to 7
 - » **Pledging of funds** to the operational budget to ensure actionable policy measures can be undertaken
 - » **Signing of memorandum** on technology transfer, diplomatic training, and a master plan on connectivity - all of which are of important for grouping's future as aspirational countries in a region that has already become the gravitational centre of global geopolitics.
- **July 2024 (2nd) Foreign Ministers Meet held in India**

- » The focus of the meeting was on providing an informal platform to discuss ways and means of cooperating and accelerating action in security, connectivity, trade, and investment within the Bay of Bengal.
- » Meeting is significant as it is being held in the backdrop of major developments in neighbouring Myanmar, where the military Junta has been receiving battlefield setbacks.
- » First time such an event is organized since the Charter of BIMSTEC came into force effect on 20th May 2024.
- **Way forward:** The developments so far under BIMSTEC have been encouraging. But to maintain the momentum and to strengthen BIMSTEC as a sustainable platform, following steps should be considered:
 - » Keep BIMSTEC away from politics that bedeviled SAARC.
 - India must not fall in the trap of putting geopolitics over economic, reducing BIMSTEC into just another geopolitical weapon for isolating Pakistan. India should lead BIMSTEC with much broader, inclusive vision driven by economic merits of cooperation.
 - » We also need to hold the future summits in a timely manner.
 - » Member states also need to commit significant resources to strengthen the organization.
 - India which is already the largest contributor to BIMSTEC needs to further increase its contribution
 - » **Timely Delivery of Projects:** Complete the infra projects -> Kaladan Multi-modal Project, IMT trilateral highway in a timely manner.
 - **Improved Connectivity** (Physical, digital and people-to-people) should be the mantra for increased cooperation within BIMSTEC. With connectivity comes integration, cooperation and development.
 - » **Ensure Tangible outcomes** which will motivate countries to concentrate on BIMSTEC
 - **Finalize the FTA** which is being discussed to further increase the economic cooperation in the region.
 - **BIMSTEC agreement on Maritime Transport Cooperation** which is expected to be signed in the sixth summit in Sep 2024, should be prioritized by India, in light of the political changes in Bangladesh.
 - » **Counter the impression** that BIMSTEC is an **India-dominated bloc**, a problem that we have faced for long in SAARC.
 - » **Use People-to-People Engagement** in deepening relations between BIMSTEC countries. This can be done through:
 - Academic/ Education Diplomacy
 - Tourism Diplomacy
 - Festival Diplomacy
 - Health and Medical Diplomacy
 - Publication Diplomacy

- **Conclusion**

The potential of BIMSTEC needs to be utilized to address the needs and requirements of the region, especially in the area of economic development. Given the fairly amicable relations between the member states of BIMSTEC, increasing its performance and its effectiveness is an achievable goal as long as countries exhibit enough political will and mutual respect.